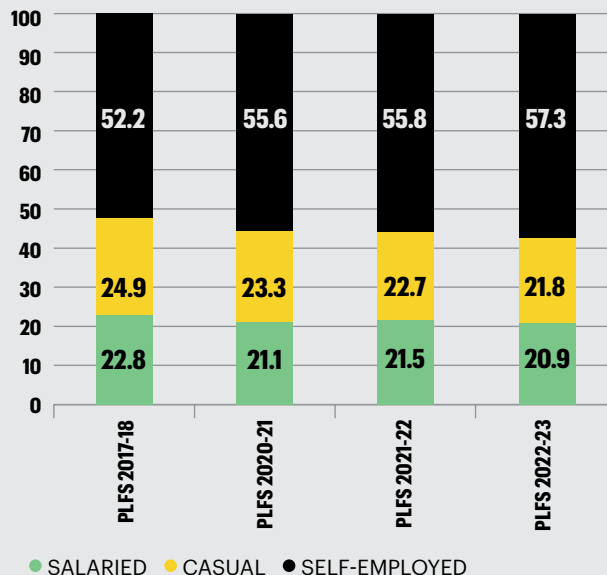
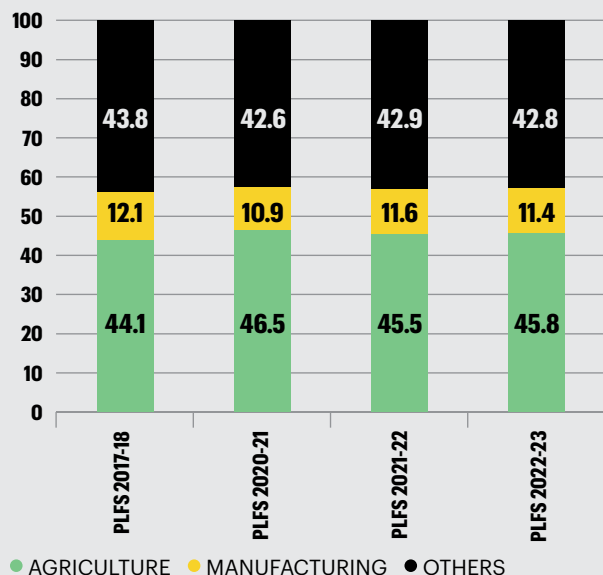


GRIM PICTURE

● Employment in India is still dominated by agriculture, casual and self-employed jobs that are mostly informal without social security or a salary



ALL FIGURES IN % **NOTE** DATA REFERS TO ALL-INDIA NUMBERS, AGGREGATE OF RURAL AND URBAN AND MALE AND FEMALE, USUAL STATUS WITH A REFERENCE PERIOD OF ONE YEAR **SOURCE** PLFS

Aarin Capital and former Infosys CFO, in agreement.

Although the headline numbers spell cheer, scratching the surface reveals a different perspective about the quality of jobs. Over a five-year period, there has been an increase in the proportion of agricultural jobs and a decrease in the already-low share of manufacturing to 11.4% from 12.1%. In fact, agriculture continues to employ a significant 45% of India's working population. That is, more than 250 million people are still engaged in agricultural work, even though experts say the number should be closer to 50-70 million, given India's development at this stage. IT and corporate jobs, which are often considered the "best jobs" in India, only make up a small fraction of India's workforce, employing around 4-5% or around 30 million, estimates K.R. Shyam Sundar, a labour economist and Adjunct Professor at MDI Gurgaon.

Further, the share of salaried work, often seen as an indicator of quality employment, has fallen. While the share of casual labour has also fallen, the proportion of people who are self-employed has increased. Under the PLFS, self-employment refers to unpaid

work in the form of 'own account' workers and employers or 'helpers in household enterprises'. "The quality of jobs responsible for the increase in labour force participation and worker force participation is highly questionable. The rise in unpaid workers shows that they are in the labour force and at work, but do not get paid," says Sundar, adding that the labour market has not yet fully recovered from the Covid-19 pandemic. 'The State of Working India Report' released by Azim Premji University recently summarised it thus: The connection between growth and good jobs remains weak. According to the study based on multiple sets of government data, the unemployment rate after Covid-19 is lower than before Covid-19 for individuals in all education levels. However, it still remains above 15% for graduates and reaches as high as 42% for graduates under the age of 25.

What's more, despite numerous measures, female labour force participation rate in India has remained low. In 2022-23, female LFPR jumped to 37%, according to the PLFS from 32.8% a year ago. However, it was much lower in the case of urban women at 25.4%, compared to 41.5% for rural women.